

Wealth Strategy Snapshot

2026 Tax Year Planning

Prepared for Holland & Colin Birkemeyer | March 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to the financial profile of Holland & Colin Birkemeyer. As a high-growth S-Corporation generating \$400–499K annually with projected trajectory toward \$1M+, combined with Colin’s military separation in November 2026, this snapshot models strategies across six value categories: tax optimization, investment income, investment appreciation, real estate (aggressive scenario), cash flow improvements, and wealth building.

Based on the strategies and scenarios modeled, this snapshot illustrates potential first-year value ranging from **\$124,503 (conservative scenario)** to **\$372,736 (aggressive scenario including real estate acquisition)**. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Current Financial Position

Household Profile

Filing Status	Married Filing Jointly	Ages	26 (Holland) & 27 (Colin)
Location	North Las Vegas, NV (0% state tax)	Time Available	5–10 hours/week

Business Structure	S-Corporation (2+ years)	Business Type	Digital content / recipe community
2025 Revenue	\$400–499K after expenses	Projected 2026	Potentially doubling (\$800K–\$1M+)
Colin Status	Active military → separating Nov 2026; W-2 employee of S-Corp	Risk Tolerance	Moderately aggressive (growth-focused)
Est. Marginal Rate	32% federal + 0% NV = 32%	Credit Score	760+

Current Assets & Accounts

ACCOUNT	BALANCE	CATEGORY
US Bank Checking (personal)	\$17,716	Cash
US Bank Business	\$69,571	Cash
Navy Federal Checking	\$14,488	Cash
Barclays Savings	\$84,877	Cash
Schwab Brokerage	\$108,738	Investments
401(k)	\$39,250	Retirement
TSP — Colin	\$19,336	Retirement
TSP — Holland	\$11,732	Retirement
Roth IRA — Holland	\$26,158	Retirement
Roth IRA — Colin	\$7,008	Retirement
Traditional IRA — Holland	\$1,500	Retirement

Home Equity (NV)	\$134,596	Real Estate
Estimated Net Worth	\$534,970	

Current Schwab Holdings

TICKER	SHARES	TYPE
SCHB (Total Market)	988	Broad U.S. ETF
SWPPX (S&P 500 Index)	1,292	S&P 500 Fund
AIVSX (American Funds)	714	Large-Cap Value
SWAGX (Aggregate Bond)	1,018	Bond Index
SWSSX (Small-Cap Index)	107	Small-Cap
Individual Stocks: AMZN, ASTS, BX, BA, CMCSA, INTC, META, MSFT, NDAQ, NVDA, PFE, PG, TGT, TM, UNH, QQQ		

Both Roth IRAs are currently allocated entirely to SCHB. Portfolio shows significant overlap between SWPPX (S&P 500) and individual large-cap stocks. Consider discussing consolidation and international diversification with your financial advisor.

Monthly Expenses

ITEM	AMOUNT	NOTES
NV Mortgage + Utilities	\$2,600/mo	Primary home (currently away)
Korea Rent + Utilities	\$1,200/mo	Temporary through Nov 2026
Phone Bills	\$110/mo	
Insurance	\$100/mo	
Total Monthly	\$4,010/mo	\$2,810/mo after Korea lease ends

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1 — March 2026

- 2025 Roth IRA contributions ($\$7,000 \times 2$) — April 15 deadline approaching. Discuss with CPA whether 2025 contributions have been maximized.
- Review Schwab portfolio overlap with financial advisor — significant concentration in U.S. large-cap noted.
- Bitcoin/STRC educational research — familiarize with custodian options and mechanics before any deployment decisions.

Week 2 — March 2026

- Solo 401(k) 2026 contribution strategy — discuss with CPA: optimal W-2 salary levels for Holland and Colin to maximize employer contributions while balancing FICA.
- S-Corp salary optimization — review reasonable compensation analysis for 2026 given projected revenue growth.
- Discuss QBI deduction eligibility with CPA — 20% pass-through deduction (now permanent under OBBBA) may apply based on business type and income level.

Week 3 — March 2026

- Core strategic decision: Model Colin's post-military role — full-time business support vs. STR/RE acquisition. Business advisor can help quantify ROI of each path.
- If RE is of interest: begin educational market research for managed STR properties in NV. Property management would minimize time commitment.

Week 4 — April 2026

- Augusta Rule documentation — begin planning for post-November use of NV home (14-day rental to S-Corp). Discuss documentation requirements with CPA.
- Home office setup considerations for NV return — dedicated room requirement for deduction eligibility.
- Initial investment capital deployment per advisor-approved scenario.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions may still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional / Roth IRA	\$7,000 per person	April 15, 2026	Up to \$14,000 combined (Holland + Colin). Already doing backdoor Roth annually — verify 2025 contributions were completed.
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Plan already established. Employer contributions may still be made for 2025 with tax return filing. Discuss with CPA.
HSA	\$8,550 family / \$4,300 individual	April 15, 2026	Not applicable — no HDHP coverage indicated.
SEP IRA	25% up to \$69,000	Tax filing + extensions	Not applicable — Solo 401(k) already in place (cannot contribute to both).

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (had to occur in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy Concept: Solo 401(k) Maximization

Potential Value: \$15,680 – \$27,680 in modeled tax savings

What It Is: A retirement plan allowing both employee deferrals (\$24,500 per person for 2026) and employer contributions (25% of W-2 salary) through the S-Corp. At a 32% marginal rate, maximizing contributions for both spouses models potential tax savings of \$15,680 to \$27,680 depending on salary levels and employer contributions.

How It Works:

1. Employee deferrals of \$24,500 each must be made by December 31, 2026
2. Employer contributions (25% of W-2 compensation) can extend to tax filing deadline
3. Total per-person cap is \$72,000 for 2026 (no catch-up — both under 50)

Eligibility Criteria: Self-employment income through S-Corp, plan already established, no full-time non-spouse employees (spouse exception applies).

Verify contribution limits and implementation details with your CPA. 2026 limits shown. Both Holland and Colin are under 50 — no catch-up contributions apply.

Strategy Concept: S-Corp Salary Optimization

Potential Value: \$15,000 – \$25,000 in modeled FICA savings

What It Is: Setting “reasonable compensation” through the S-Corp allows distributions above salary to avoid the 15.3% self-employment tax (FICA). With \$400K+ in S-Corp income projected to grow significantly, the spread between salary and distributions creates meaningful FICA savings.

How It Works:

1. Establish reasonable compensation with CPA — based on industry, duties, and revenue
2. Salary is subject to FICA; distributions above salary are not
3. Balance against maximizing employer 401(k) contributions (which require W-2 salary base)

Eligibility Criteria: Active S-Corp with reasonable salary documentation. Must balance FICA savings vs. 401(k) employer contribution maximization.

Salary must meet “reasonable compensation” standards per IRS guidelines. Work with CPA to optimize the salary-to-distribution ratio for 2026. 2026 FICA cap: \$184,500 for Social Security.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: \$15,000 positioned in tax-free growth accounts

What It Is: High earners who exceed Roth IRA income limits may contribute to a Traditional IRA and convert to Roth — commonly called the “backdoor” method. For 2026, each spouse may contribute \$7,500 (both are under 50, so no \$1,100 catch-up applies) for a total of \$15,000.

How It Works:

1. Contribute \$7,500 to Traditional IRA (non-deductible) for each spouse
2. Convert to Roth IRA — timing and pro-rata rules should be discussed with CPA
3. Holland’s existing Traditional IRA balance (\$1,500) may trigger pro-rata taxation on conversion — discuss with CPA

Eligibility Criteria: Already executing annually — continue for 2026 with new \$7,500 limit.

Pro-rata rule applies if pre-tax IRA balances exist. Holland's \$1,500 Traditional IRA balance should be addressed. Verify with CPA. 2026 limits shown.

Strategy Concept: Qualified Business Income (QBI) Deduction

Potential Value: Discuss with CPA — up to 20% of qualifying business income

What It Is: The Section 199A deduction, made permanent by the One Big Beautiful Bill Act (OBBBA) signed July 4, 2025, allows owners of pass-through businesses (including S-Corps) to deduct up to 20% of qualified business income from taxable income. For an S-Corp generating \$400K–\$500K+, this deduction could be substantial if eligibility criteria are met.

How It Works:

1. S-Corp income flows through as QBI on the owners’ personal return
2. Deduction is subject to W-2 wage limitations and income phase-outs for specified service trades or businesses (SSTBs)
3. Whether the digital content / recipe community business qualifies as an SSTB — and whether income falls within the phase-out range — requires CPA analysis

Eligibility Criteria: Pass-through business income, subject to SSTB classification, W-2 wage/capital limitations, and MFJ income phase-out thresholds. Business type classification is the key factor.

QBI deduction eligibility and amount depend on business classification and income levels. The deduction is now permanent under OBBBA. Discuss with your CPA to determine if and how much of this deduction applies to your situation. 2026 phase-out thresholds should be verified with your tax professional.

Strategy Concept: Augusta Rule (Section 280A)

Potential Value: \$2,240 – \$3,136 in modeled tax savings

What It Is: A homeowner may rent their personal residence for up to 14 days per year without reporting the rental income, while the S-Corp deducts the rent as a business expense. At a fair market rate of \$500–\$700/day for the NV home, this creates a tax deduction for the business and tax-free income personally.

How It Works:

1. Document fair market rental value with comparable rental data (Airbnb comps)
2. Hold legitimate business meetings/events at the home (after Nov 2026 return to NV)
3. S-Corp pays rent; homeowner receives tax-free income; S-Corp deducts the expense

Eligibility Criteria: Must own and occupy the home; limit of 14 days; requires fair market documentation and legitimate business purpose. Available after returning to NV home in November 2026.

Verify documentation requirements and fair market rate methodology with your CPA before proceeding. 2026 rules apply.

Strategy Concept: Home Office Deduction

Potential Value: \$480 – \$960 in modeled tax savings

What It Is: A dedicated room used exclusively and regularly for business may qualify for a home office deduction. The simplified method allows \$5/sq ft up to 300 sq ft (\$1,500 max), while the regular method uses actual expenses prorated by square footage.

How It Works:

1. Designate a dedicated room exclusively for business use (content creation, management)
2. Calculate using simplified method (\$1,500–\$3,000 depending on method) or actual expenses
3. At 32% rate: $\$1,500 \times 32\% = \480 (simplified) to $\$3,000 \times 32\% = \960 (actual method)

Eligibility Criteria: Dedicated room used exclusively for business. Available after returning to NV home in November 2026. Already indicated a dedicated room exists.

Verify with CPA. Deduction prorated for partial year if claimed only for months in NV.

Strategy Concept: Vehicle Expense Deduction (72.5¢/mile for 2026)

Potential Value: \$696 – \$1,160 in modeled tax savings

What It Is: Business use of a personal vehicle (2015 Subaru Crosstrek, <25% business use indicated) may be deducted using the standard mileage rate of 72.5¢ per mile for 2026.

How It Works:

1. Track all business miles with a mileage log (apps like MileIQ simplify this)
2. Conservative estimate: 3,000 business miles $\times$ \$0.725 = \$2,175 deduction $\times$ 32% = \$696
3. Aggressive estimate: 5,000 business miles $\times$ \$0.725 = \$3,625 deduction $\times$ 32% = \$1,160

Eligibility Criteria: Business use must be documented; standard mileage method requires use from first year vehicle is placed in service for business. Applicable after return to NV.

Maintain contemporaneous mileage log. Verify method eligibility with CPA. 2026 mileage rate: 72.5¢/mile.

Strategy Concept: Short-Term Rental + Cost Segregation (Aggressive Scenario Only)

Potential Value: \$36,000 – \$40,500 in modeled first-year tax benefit

What It Is: Acquiring a short-term rental property and performing a cost segregation study may accelerate depreciation, creating significant paper losses that offset active business income. The STR loophole (average guest stay ≤ 7 days) may allow these losses to be used against non-passive income without meeting Real Estate Professional status requirements.

How It Works (Building Basis Methodology per OBBBA):

1. Acquire STR property (\$350,000–\$400,000 range, 20% down payment)
2. **Determine depreciable building basis:** \$375,000 purchase price – \$75,000 estimated land value (20%) = \$300,000 building basis
3. **Cost segregation study** reclassifies 25–40% of *building basis* to 5, 7, and 15-year assets. At 35% reclassification: $\$300,000 \times 35\% = \$105,000$ eligible for bonus depreciation
4. **100% bonus depreciation (OBBBA):** For property acquired and placed in service after January 19, 2025, the One Big Beautiful Bill Act permanently restored 100% first-year bonus depreciation. The \$105,000 reclassified amount is fully deductible in Year 1
5. **Remaining straight-line depreciation:** $(\$300,000 - \$105,000) / 27.5 \text{ years} = \$7,091 \text{ Year 1}$
6. **Total Year 1 depreciation:** $\$105,000 + \$7,091 = \$112,091$
7. **Tax savings at 32%:** $\$112,091 \times 32\% = \sim \$35,869$ (at 35% reclassification); up to $\sim \$40,500$ at 40% reclassification
8. Property management handles day-to-day operations, minimizing time investment

Eligibility Criteria: Average guest stay ≤ 7 days, material participation (100+ hours, more than anyone else), adequate capitalization. This strategy requires careful planning and professional guidance.

OBBBA Note: The One Big Beautiful Bill Act, signed July 4, 2025, permanently restored 100% bonus depreciation for qualified property acquired and placed in service after January 19, 2025. This replaces the TCJA phase-down schedule (which had dropped to 40% for 2025, 20% for 2026 on pre-Jan 19, 2025 acquisitions). Cost segregation is applied to *building basis* (after subtracting estimated land value), not the full purchase price.

Real estate tax strategies have specific documentation and participation requirements. Cost segregation requires a qualified engineering study. Work with a qualified tax professional and real estate attorney to ensure compliance. This strategy is modeled in the aggressive scenario only.

Primary Strategy Education: The Business vs. Real Estate Decision

The Core Question: Where Does Colin's Time Create the Most Value?

This is the central strategic decision identified in the intake: when Colin separates from the military in November 2026, does his time generate more value scaling Holland's content business or managing short-term rental properties?

Scenario A: Colin Joins Business Full-Time
(Conservative Path)

Business Revenue Trajectory	If community grows from 1,600 → 15,000 members at \$9/mo, that models ~\$135,000/mo in community revenue alone, plus digital products
Colin's Value-Add	Operations, content support, and business development may accelerate growth and enable Holland to focus on content creation (4x/day posting schedule)
Marginal Revenue	If Colin's involvement helps capture even 10–20% more growth, that models \$100K–\$300K+ in incremental annual revenue
Tax Strategy Impact	Higher S-Corp income → more distributions, more FICA savings, more 401(k) employer contributions

Scenario B: Colin Manages STR Portfolio
(Aggressive Path)

STR Income Goal	\$5,000–\$10,000/mo cash flow from 1–4 properties scaled over 12–24 months
Time Requirement	15–25+ hrs/week for acquisition, renovation, and management (even with PM)
Tax Benefits	Cost segregation + STR loophole may offset \$36,000–\$40,500+ in business income taxes per property (100% bonus dep under OBBBA)
Equity Building	\$70,000–\$80,000 positioned in RE equity per property
Opportunity Cost	Time NOT spent on business that is projecting \$1M+/year trajectory

**Time
Investment**

40+ hrs/week into
business — maximizes
the highest-ROI asset (the
business)

Hybrid Consideration: “Hands-Off” Real Estate

A middle-ground approach exists: acquire 1 property with professional property management, capturing the tax benefits (cost segregation, depreciation) and wealth diversification without the operational time drain. This allows Colin to focus primarily on the business while still deploying capital into real estate. The business’s projected revenue growth far outpaces typical STR returns — the question is whether RE tax benefits and diversification justify the capital allocation, not the time allocation. This is a key discussion point for your advisory team.

These scenarios are for educational illustration. Business and real estate investment decisions involve significant risk and should be made in consultation with your CPA, attorney, and financial advisor who understand your complete situation.

Illustrative Portfolio Scenario

Based on the moderately aggressive, growth-focused profile indicated with 5–10 hours available per week and \$75,000 comfortable deployment capital, this scenario illustrates one approach to new capital deployment:

ASSET CLASS	SCENARIO %	ILLUSTRATIVE AMOUNT	EDUCATIONAL RATIONALE
Bitcoin	60%	\$45,000	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. At ages 26–27 with high risk tolerance and long time horizon, a growth-weighted allocation models the aggressive wealth-building profile indicated.
STRC	25%	\$18,750	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Provides income component without active management — aligns with limited time availability.
VTI / VOO	15%	\$11,250	VTI (Vanguard Total Stock Market ETF) and VOO (S&P 500 ETF) provide broad U.S. equity exposure at low cost

(0.03% expense ratio). Balances crypto volatility with traditional equity diversification.

This scenario models one approach based on the moderately aggressive profile and growth-focused goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

Note on Existing Schwab Portfolio

The current Schwab holdings (~\$108,738) contain significant overlap between SWPPX (S&P 500 index), individual large-cap stocks (AMZN, MSFT, NVDA, META), and SCHB (total market). Additionally, SWAGX (bond index) may be worth evaluating given your age and growth objectives — as your advisor noted, bonds may be less aligned with your time horizon. Consider discussing portfolio simplification and potential international diversification with your financial advisor. Verify current STRC yield at time of investment — historical yields shown are not guaranteed.

Modeled First-Year Value Summary (2026 Tax Year)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION				
Tax	Solo 401(k) Tax Savings	\$15,680	\$27,680	\$49K–\$86.5K contributions × 32%
Tax	S-Corp FICA Savings	\$15,000	\$25,000	Distributions above salary avoid 15.3% FICA
Tax	Augusta Rule	\$2,240	\$3,136	\$7K–\$9.8K rent × 32% (post-Nov NV return)
Tax	Home Office Deduction	\$480	\$960	\$1,500–\$3,000 deduction × 32%
Tax	Vehicle (72.5¢/mile)	\$696	\$1,160	3,000–5,000 business miles × 72.5¢ × 32%
Tax	STR + Cost Segregation	\$0	\$40,000	Aggressive only: 100% bonus dep (OBBBA) on building basis × 32%

Tax Optimization Subtotal		\$34,096	\$97,936	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (10–12%)	\$1,875	\$2,250	$\$18,750 \times 10\% / 12\%$
Income	ETF Dividends (1.5–2%)	\$169	\$225	$\$11,250 \times 1.5\% / 2\%$
Investment Income Subtotal		\$2,044	\$2,475	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (25% / 50%)	\$11,250	\$22,500	$\$45,000 \times 25\% / 50\%$
Growth	STRC (15% / 30%)	\$2,813	\$5,625	$\$18,750 \times 15\% / 30\%$
Growth	VTI/VOO (8% / 12%)	\$900	\$1,350	$\$11,250 \times 8\% / 12\%$
Appreciation Subtotal		\$14,963	\$29,475	
CATEGORY D: REAL ESTATE (AGGRESSIVE SCENARIO ONLY)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (3–6%)	\$0	\$17,250	~4.6% on \$375K property
RE	Mortgage Principal Paydown	\$0	\$4,500	Year 1 equity build
Real Estate Subtotal		\$0	\$51,750	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 / Withholding Optimization	\$2,400	\$4,800	$\$200\text{--}\$400/\text{mo additional take-home} \times 12$
Cash Flow Subtotal		\$2,400	\$4,800	

CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	Retirement Contributions (Solo 401k)	\$49,000	\$86,500	Employee \$24.5K × 2 + employer portions
Wealth	Backdoor Roth IRA (both spouses)	\$15,000	\$15,000	\$7,500 × 2 (both under 50)
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free personal income (≤14 days)
Wealth	RE Equity Position (down payment)	\$0	\$75,000	20% down on ~\$375K property
Wealth Building Subtotal		\$71,000	\$186,300	
TOTAL FIRST-YEAR VALUE (2026)		\$124,503	\$372,736	

Conservative Total Verification: \$34,096 + \$2,044 + \$14,963 + \$0 + \$2,400 + \$71,000 = \$124,503

Aggressive Total Verification: \$97,936 + \$2,475 + \$29,475 + \$51,750 + \$4,800 + \$186,300 = \$372,736

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits; verify with your CPA. Cost segregation figures use building basis methodology (property value minus estimated 20% land value) with 100% bonus depreciation per OBBBA for property acquired after January 19, 2025. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

DATE	ITEM	NOTES
April 15, 2026	2025 IRA contribution deadline	Last day to make 2025 Roth IRA contributions (\$7,000 × 2). Verify with CPA.
April 15, 2026	2025 tax return filing	Or file extension. Solo 401(k) employer contributions due with return.

Q2–Q3 2026	Investment deployment	Deploy capital per advisor-approved scenario. Research custodians.
November 2026	Colin military separation	Key transition: Colin's role decision (business vs. RE). Return to NV home.
Nov–Dec 2026	Augusta Rule utilization	Rent NV home to S-Corp (≤ 14 days) after return. Document fair market rate.
December 31, 2026	2026 401(k) employee deferrals	Last day for $\$24,500 \times 2$ employee contributions.
December 31, 2026	Solo 401(k) plan establishment	Plan must exist by 12/31 for 2026 employee deferrals (already established ✓).
April 15, 2027	2026 IRA contribution deadline	Last day for 2026 Roth IRA contributions ($\$7,500 \times 2$).

Verify all deadlines with your tax professional. Deadlines may shift if they fall on weekends or holidays.

Questions for Your Professional Team

ASK YOUR CPA

"What are our maximum 2026 Solo 401(k) contributions — both employee and employer — given our projected S-Corp income and W-2 salary levels?"

ASK YOUR CPA

"What is the optimal W-2 salary for Holland and Colin in 2026 to balance FICA savings against maximizing employer 401(k) contributions? The 2026 FICA cap is \$184,500."

ASK YOUR CPA

"Did we maximize our 2025 Roth IRA contributions? If not, can we still contribute before April 15, 2026?"

ASK YOUR CPA

"Holland has a \$1,500 Traditional IRA balance — how does this affect the backdoor Roth conversion? Should we roll it into the Solo 401(k) to avoid the pro-rata rule?"

ASK YOUR CPA

"Does our digital content / recipe community business qualify for the QBI deduction? If so, what is the estimated deduction amount given our income level and the 2026 phase-out thresholds?"

ASK YOUR CPA

"If we acquire an STR property after January 19, 2025, we understand OBBBA provides 100% bonus depreciation. What documentation do we need for cost segregation and the short-term rental loophole? What are the material participation requirements?"

ASK YOUR FINANCIAL ADVISOR

"Our Schwab portfolio has significant overlap between SWPPX, individual stocks, and SCHB. How should we think about consolidation, international exposure, and alignment with our growth objectives and age?"

ASK YOUR FINANCIAL ADVISOR

"Given our age and risk tolerance, what allocation percentage to Bitcoin and crypto-correlated assets is appropriate for our complete portfolio — including retirement accounts?"

DISCUSS WITH BUSINESS ADVISOR

"With the business projecting \$1M+ in annual revenue, does Colin's time create more value supporting operations and growth, or is partial diversification into managed real estate worth the capital allocation?"

Professional Team Considerations

PROFESSIONAL	ROLE IN STRATEGY IMPLEMENTATION	STATUS
CPA / Tax Professional	Tax strategy verification, Solo 401(k) optimization, S-Corp salary analysis, QBI deduction analysis, Augusta Rule documentation, cost segregation coordination	✓ Currently engaged
Financial Advisor / Wealth Manager	Investment scenario implementation, portfolio consolidation, Bitcoin/STRC custodian selection, risk assessment	✓ Currently engaged
Business Coach / Consultant	Business scaling strategy, Colin's role optimization, revenue growth modeling	✓ Currently engaged
Bookkeeper	S-Corp records, expense tracking, payroll coordination	✓ Currently engaged

Real Estate Attorney	Property acquisition, entity structuring for RE holdings, lease agreements	☐ Needed if RE pursued
Property Manager	STR operations, guest management, maintenance coordination	☐ Needed if STR acquired

Before implementing any strategy discussed in this document, consult with the appropriate licensed professional who understands your complete financial situation.

2026 Milestone Considerations

PERIOD	CONSIDERATIONS
Q1 2026	Complete 2025 cleanup (Roth IRA contributions, Solo 401(k) employer portion). Initiate Schwab portfolio review with advisor. Begin Bitcoin/STRC education. Discuss QBI deduction eligibility with CPA.
Q2 2026	Deploy initial investment capital per advisor-approved scenario. Finalize 2026 S-Corp salary levels with CPA. If RE is pursued, begin market research.
Q3 2026	Mid-year tax projection with CPA — verify estimated payments. Finalize Colin's post-military role decision. If RE pursued, begin acquisition process (note: 100% bonus depreciation under OBBBA for post-Jan 19, 2025 acquisitions).
Q4 2026	Colin separates from military (November). Return to NV home. Execute Augusta Rule (≤14 days). Complete 401(k) employee deferrals by December 31. Home office setup.
Q1 2027	2026 Roth IRA contributions (due April 15, 2027). File 2026 taxes with CPA — verify all strategies executed correctly. Annual strategy review and 2027 planning.

These milestones are considerations for discussion, not requirements. Timing should be coordinated with your professional team based on your evolving situation.

Educational Resources: 2026 Contribution Limits

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60–63)

401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Emp + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A

Business mileage rate for 2026: 72.5¢/mile. 2026 FICA cap: \$184,500 for Social Security. Verify all limits with IRS.gov or your tax professional.

SECURE 2.0 Roth Catch-Up Requirement (2026)

Starting in 2026, if a participant earned \$150,000+ in FICA wages in the prior year (2025) from the same employer, any catch-up contributions must be designated as Roth (not pre-tax). This does not currently apply to Holland and Colin (both under 50, no catch-up contributions), but is important to note as income grows and ages advance. Discuss with your CPA.

OBBBA Provisions Affecting This Snapshot (Signed July 4, 2025)

The One Big Beautiful Bill Act made several changes relevant to this analysis:

- **100% Bonus Depreciation (Permanent):** Restored for property acquired and placed in service after January 19, 2025, reversing the TCJA phase-down
- **QBI Deduction (Permanent):** 20% pass-through deduction made permanent (was set to expire after 2025)
- **SALT Cap Raised to \$40,000:** State and local tax deduction cap increased from \$10,000 (less relevant in NV, but important if acquiring RE in other states)
- **Section 179 Expanded:** Maximum deduction increased to \$2,500,000 with \$4,000,000 phase-out threshold
- **TCJA Individual Tax Rates Made Permanent:** 7-bracket structure (10%–37%) no longer set to expire

Your Profile: Age-Based Limits (Ages 26 & 27)

ACCOUNT	2026 LIMIT (UNDER 50)	CATCH-UP
401(k) Employee Deferral	\$24,500	\$0 (under 50)
401(k) Total (with employer)	\$72,000	\$0
IRA / Roth IRA	\$7,500	\$0 (under 50)
HSA	N/A (no HDHP)	N/A

For educational reference only. Verify current limits with IRS.gov or your tax professional.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

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